

(KV) Cache Rules Everything Around Me

TL;DR: The biggest cost to devs of an agent is re-reading its own context, which costs the provider close to nothing to serve.



DIOGO

SEP 09, 2026



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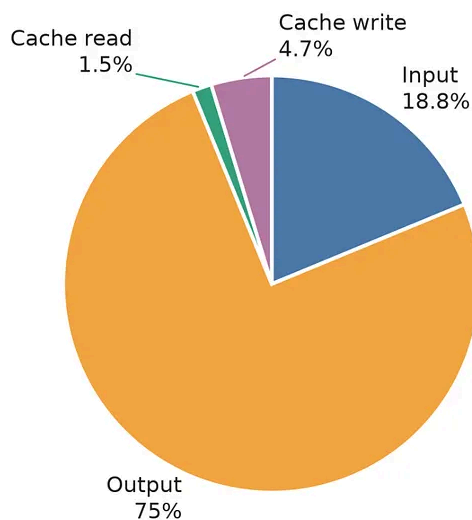
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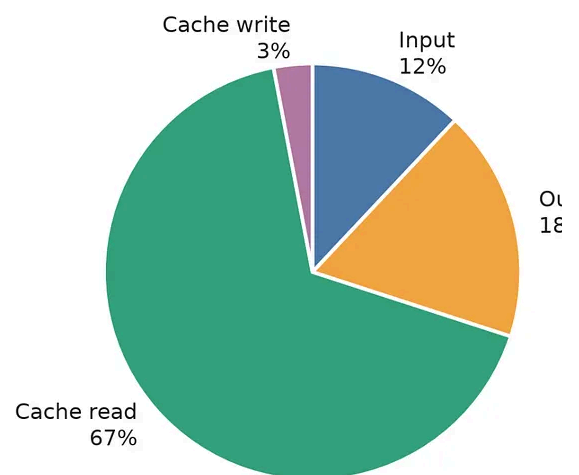
Background

Pop quiz: what's the most important cost when running an agent?

What devs think agents cost



What agents actually cost



Cache write = the extra 25% write premium · Actual costs assume a 100% cache hit rate

Total amount billed broken down by %. Assuming Fable 5 + 100% cache hit rate. Only the additional cache write cost is separated from input cost.

If you're like most AI engineers, your first two guesses are wrong. Output tokens? For token outputs are the expensive ones, but they end up being a small slice of your fir

bill. Input tokens? Kinda, but not the ones you write in your prompts + messages. The answer is cache reads costs developers the most (or cache writes, if your cache hit ratio isn't great). Technically both are input tokens, just at very different prices.

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